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NEWSPAPER 30th OCTOBER, 2018

ITEM WISE EDITORIALS

44th WEEK



INDIA-JAPAN ... A COMPREHENSIVE VIEW

UPSC CSE – GS II

GS II ... International Relations



Learning Space

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... DISCUSSION

30th OCTOBER, 2018

Touching base

PM Modi's visit to Japan should clarify the shared reading of a changing world order

Ever since they institutionalised annual summit-level meetings in 2006, India and Japan have held a closely aligned world-view. Prime Minister Narendra Modi now heads to Japan for meetings with his Japanese counterpart, Shinzo Abe, and they are expected to take stock of all the challenges they face, notably with regard to the U.S. and China. President Donald Trump's recent actions on trade tariffs, sanctions against Iran and Russia, as well as the U.S.'s exit from several multilateral and security regimes are impacting both countries in different ways. For India, the impact is more direct, as the economy has been hurt by new American tariffs, review of its GDP (trading) status, and restrictions on visas for professionals. Moreover, possible U.S. sanctions over Indian engagement with Iran as well as defence purchases from Russia pose a looming challenge. For Japan too, U.S. trade tariffs are a concern and Washington's exit from the Trans-Pacific Partnership is contrailing Southeast Asian countries into a free-trade regime under Chinese domination. In addition, the U.S.'s on-again, off-again nuclear negotiations with North Korea are keeping Tokyo on tenterhooks. India and Japan must closely cooperate on how to manage these challenges from the U.S. while maintaining their growing security ties with Washington, as members of the trilateral and quadrilateral forums in the Indo-Pacific. The other common concern is managing an increasingly influential China. Mr. Abe will meet Mr. Modi a day after he returns from a visit to Beijing, the first by a Japanese Prime Minister in seven years. Mr. Modi has re-engaged Beijing through multiple meetings with President Xi Jinping this year. The Prime Ministers are bound to compare notes on the way forward with their common neighbour, especially on building and financing alternatives to China's Belt and Road projects for countries along the "Asia-Africa growth corridor".

On the bilateral front, there are several loose ends that Mr. Modi and Mr. Abe will work to tie up. The Shinkansen-India train project has gathered speed, with the Japan International Cooperation Agency releasing the first tranche of ₹5,500 crore recently, but it could still run into delays over land acquisition issues. India and Japan have stepped up military exchanges, and will begin negotiations on a landmark acquisition and cross-servicing logistics agreement. However, there has been little movement on the pending purchase of Shikra-US-2 amphibian aircraft. And while Japanese investment has grown several-fold in India, trade figures are lower than levels five years ago. None of these issues is insurmountable, and the larger concerns of how to navigate uncharted and stormy geopolitical terrain, while maintaining strong positions on the international rules-based order, are likely to dominate Mr. Modi's visit.

East meets east

India-Japan ties are warming up but expectations from Modi-Abe discussions must remain anchored in reality



ARUN PRAKASH

ACCORDING TO AUTHOR Pankaj Mishra, the roots of the putative "rise of the East" can be traced to May 1905, when a Japanese fleet, commanded by Admiral Togo, defeated much of Imperial Russia's navy at the Battle of Tsushima Strait. Europe's humiliation by an Asian Power — inconceivable till then — galvanised patriotic sentiment all over the eastern world, including India, and set the stage for its ascent from the east.

It may be a leap of faith to link Prime Minister Narendra Modi's close personal bonding with Japanese PM Shinzo Abe, both 65-year-old men, but India's high regard for Japan is certainly rooted in its history. The second Modi-Abe relationship has been built over 12 meetings, including four summits, since 2004. Such symbiosis, unusual in international relations, has, understandably, heightened interest in the 13th India-Japan Summit, scheduled on October 28-29 in Tokyo.

There are other reasons too, for observers to anticipate that the Indo-Japanese relationship will, at last, deliver tangible results. Primary among them is China's economic and military rise, its growing belligerence and its refusal to comply with the existing rules-based order.

The skirmishes raging by China's capricious actions in the East and South China Seas, and its relentless quest for distant Indian Ocean footholds, have focused sharp attention on maritime security in the region. The Belt and Road Initiative (BRI), hatched to the world as a bridge to enhance regional connectivity, is, actually, a project of geo-strategic significance that will ensure China's long-term economic security while reshaping the global geo-economic order.

Along with enhanced maritime security consciousness has come a realisation of the seamless nature of the oceanic domain, resulting in the coinage of new terms and concepts. The "Asia-Pacific" entity, created, post-WW II, by the US State Department, having outlived its utility, has been stretched westwards, almost certainly, to include India, and create the new "Indo-Pacific" paradigm.

Japan, as a resource-deficient island state and major economy, is totally dependent on sea lanes for its energy, commerce, industry

and security. Despite crucial reliance on the seas, Japan faces serious capacity limitations in its ability to protect its sea-borne trade and energy routes. Apart from the tyranny of distance (a ship could take up to 10 days to cover the 12,000 km from Japan to the Persian Gulf), it is also constrained by constitutional caps on the maintenance of military-based forces and their deployment overseas.

India, as a significant naval power with a dominant peninsular location, a stride shipping lanes, plays a major role in ensuring maritime security in the Indian Ocean and its environs. Close cooperation with a democratic India, located mid-way along trade routes connecting East Asia with the Middle East and Africa, would be advantageous to Japan. At the same time, a strategically deficient India has much to gain from a relationship with a country like Japan.

Japan and India have, no doubt, been drawing closer since 2001, after the lifting of Japan's post-1945 sanctions. Regular prime-ministerial exchanges have yielded a "special strategic partnership" as well as a landmark civil nuclear agreement. A Defence Cooperation Agreement was signed in 2006 and Japan was, formally, admitted as the third member of the "Malabar" Indo-US naval exercises last year.

There is, however, a sense of dissatisfaction in New Delhi that the Indo-Japanese relationship has remained below potential, and that Japan does not accord due importance to India in its security calculus. This discontent arises mainly from the fact that the decade-long security dialogue has failed to throw up any deliverable so far. There is also frustration as Japan has offered neither military hardware, nor technology to India. Finally, there seems to be a difference in perceptions about China. Japan, while highlighting its own security concerns in the East and South China Seas, is seen to play down the multiple threats that India faces from China.

It is, therefore, important that expectations from the forthcoming Modi-Abe discussions remain anchored in reality. In this context, two major factors have a strong bearing on the India-Japan security relationship and must be taken note of.

The US-imposed, Japanese post-WW II Constitution denies not just the right of belligerency to the state, but also the authority to raise national armed forces. Japan, therefore, maintains flowerings of a putative "Japanese Self Defence Force" (JDF). With a budget of US \$50 billion, the compact JDF is formidable in capability, but limited in its ability to undertake combat operations or overseas deployment.

Nationally, there are also legal constraints on the transfer of arms and technology to other nations. However, in 2015 the Japanese government approved "reinterpretations" of the Constitution to permit the JDF to provide material and logistic support to allies, internationally. PM Abe's ruling Liberal Democratic Party has, in any case, been committed to constitutional revision since its founding.

Equal in significance are the conditions imposed on Japan by the 1951 US-Japan Security Treaty, which grants the US the means to establish a large military presence in East Asia, and binds the two militaries to intense operational cooperation. The bar imposed by this treaty on military-related assistance to other powers without US consent will always have the Japanese looking over their shoulders.

As the two prime ministers seek a modus vivendi for navigating hurdles and realising the potential of the Indo-Japanese relationship, especially in the fields of defence and security, they should be buoyed by the fact that India and Japan, of all Asian nations, carry no historical burden of the past.

Traditionally, while the Japanese are known to forget their imperial past, sentimental Indians keenly recall their historical landmarks in India-Japan relations: the accord of recognition to Subhas Bose's Provisional Government of Free India by the Diet in 1940; Justice Radhakrishnan's vociferous dissent in the Tokyo war crimes trials of 1946; and the signing of a separate Indo-Japanese Peace Treaty, according honour and equality to Japan, in 1951. One hopes that these will serve as a guide to their future relationship.

The writer is a former Chief of the Indian Navy

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5 Touching base

PM Modi's visit to Japan should clarify the shared reading of a changing world order

Ever since they institutionalised annual summit-level meetings in 2006, India and Japan have held a closely aligned world-view. Prime Minister Narendra Modi now heads to Japan for meetings with his Japanese counterpart, Shinzo Abe, and they are expected to take stock of all the challenges they face, notably with regard to the U.S. and China. President Donald Trump's recent actions on trade tariffs, sanctions against Iran and Russia, as well as the U.S.'s exit from several multilateral and security regimes are impacting both countries in different ways. For India, the impact is more direct, as the economy has been hurt by new American tariffs, review of its GSP (trading) status, and restrictions on visas for professionals. Moreover, possible U.S. sanctions over Indian engagement with Iran as well as defence purchases from Russia pose a looming challenge. For Japan too, U.S. trade tariffs are a concern and Washington's exit from the Trans-Pacific Partnership is corralling Southeast Asian countries into a free trade regime under Chinese domination. In addition, the U.S.'s on-again, off-again nuclear negotiations with North Korea are keeping Tokyo on tenterhooks. India and Japan must closely cooperate on how to manage these challenges from the U.S. while maintaining their growing security ties with Washington, as members of the trilateral and quadrilateral formations in the Indo-Pacific. The other common concern is managing an increasingly influential China. Mr. Abe will meet Mr. Modi a day after he returns from a visit to Beijing, the first by a Japanese Prime Minister in seven years. Mr. Modi has re-engaged Beijing through multiple meetings with President Xi Jinping this year. The Prime Ministers are bound to compare notes on the way forward with their common neighbour, especially on building and financing alternatives to China's Belt and Road projects for countries along the "Asia-Africa growth corridor".

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It may be a leap of faith to link Prime Minister Narendra Modi’s close personal bonding with Japanese PM, Shinzo Abe, to this century-old event, but India’s high regard for Japan is certainly rooted in shared history. The warm Modi-Abe relationship has been built over 12 meetings, including four summits, since 2014. Such symbiosis, unusual in international relations, has, understandably, heightened interest in the 13th India-Japan Summit, scheduled on October 28-29 in Tokyo.

There are other reasons too, for observers to anticipate that the Indo-Japanese relationship will, at last, deliver tangible results. Primary amongst them is China’s economic and military rise, its growing belligerence and its refusal to comply with the existing rule-based order.

The alarm bells rung by China’s capricious actions in the East and South China Seas, and its relentless quest for distant Indian Ocean footholds, have focused sharp attention on maritime-security in the region. The Belt and Road Initiative (BRI), hawked to the world as a benign bid to enhance regional connectivity, is, actually, a project of geo-strategic significance that will ensure China’s long-term economic security while reshaping the global geo-economic order.

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Japan, as a resource-deficient island state and major economy, is totally dependent on sea-lanes for its energy, commerce, industry and security. Despite crucial reliance on the seas, Japan faces serious capacity limitations in its ability to protect its sea-borne trade and energy traffic. Apart from the tyranny of distance (a ship could take up to 18 days to cover the 12,000 km from Japan to the Persian Gulf), it is also constrained by constitutional curbs on the maintenance of military/naval forces and their deployment overseas.

India, as a significant naval power with a dominant peninsular location astride shipping-lanes, plays a major role in ensuring maritime security in the Indian Ocean and its environs. Close cooperation with a democratic India, located mid-way along trade-routes connecting East Asia with the Middle East and Africa, would be advantageous to Japan. At the same time, a technologically deficient India has much to gain from a relationship with a country like Japan.

Japan and India have, no doubt, been drawing closer, since 2001, after the lifting of Japan’s post-Pokharan II sanctions. Regular prime-ministerial exchanges have yielded a “special strategic partnership” as well as a landmark civil nuclear agreement. A Defence Cooperation Agreement was signed in 2006 and Japan was, formally, admitted as the third member of the “Malabar” Indo-US naval exercises last year.

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Notionally, there are also legal constraints on the transfer of arms and technology to other nations. However, in 2015 the Japanese government approved “reinterpretations” of the Constitution to permit the JSDF to provide material and logistic support to allies, internationally. PM Abe’s ruling Liberal Democratic Party has, in any case, been committed to constitutional revision since its founding.

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Equal in significance are the conditions imposed on Japan by the 1951 US-Japan Security Treaty, which grants the US the means to establish a large military presence in East Asia, and binds the two militaries to intense operational cooperation. The bar imposed by this treaty on military-related assistance to other powers without US consent will always have the Japanese looking over their shoulders.

As the two prime ministers seek a modus vivendi for navigating hurdles and realising the potential of the Indo-Japanese relationship, especially in the fields of defence and security, they should be buoyed by the fact that India and Japan, of all Asian nations, carry no historical burden of the past.

Paradoxically, while the Japanese are keen to forget their imperial past, sentimental Indians keenly recall three historical landmarks in India-Japan relations; the accord of recognition to Subhas Bose's Provisional Government of Free India by the Diet, in 1943; Justice Radhabinod Pal's vociferous dissent in the Tokyo war crimes trials of 1946; and the signing of a separate Indo-Japanese Peace Treaty, according honour and equality to Japan, in 1951. One hopes that these will serve to inspire our future relationship.

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UPSC CSE – GS II

GS II ... International Relations

Bilateral, regional and global groupings and agreements involving India and/or affecting India's interests.

IMPORTANT QUESTION

ESSAY/ MAINS / GD / INTERVIEWS

Examine the importance of Japan in the Foreign Policy of India, when one looks at Indo-Pacific Region.

HOW JAPAN IS CONSTRAINED BY 1951 US-JAPAN SECURITY TREATY?



- 1 The US-Japan Security Treaty grants the US the means to establish a large military presence in East Asia.
- 2 It binds the two militaries to intense operational cooperation.
- 3 The bar imposed by this treaty on military-related assistance to other powers without US consent is the real constraint for Japan.

CONSTRAINTS FOR JAPAN IN A NUTSHELL!



1 Japanese Post-World War II Constitution denies not only the right of belligerency to the State, but also the authority to rise national armed forces.

2 Japan, therefore maintains three wings of Japanese Self Defence Forces (JSDF).

3 JSDF with a budget of around \$ 50 billion is formidable in capability, but fettered in its ability to undertake combat operations or overseas deployments.

4 There are also legal constraints on the transfer of arms and technology to other nations.

5 However, in 2015 the Japanese Government approved reinterpretations of the Constitution to permit the JSDF to provide material and logistic support to allies, internationally.

1 It is a resource-deficient island State and major economy, totally dependent on sea-lanes for its energy, commerce, industry and security.



2 It followed pacifist constitution, which puts curbs on the maintenance of military/navy forces and their deployment overseas.

KNOW ABOUT JAPAN!

3 India with significant naval power with a dominant peninsular location near the shipping-lanes can provide maritime security in the Indian Ocean and its environs.



4 Similarly technologically deficient India can gain from Japan.

5 Japanese investments have grown many-fold in India, but trade figures are lower than the levels, five years ago.

4 Pending purchase of ShinMaywa US-2 Amphibian aircraft.



3 Negotiations on a landmark Acquisition and Cross-Servicing Logistics Agreement.

1 The progress of Asia-Africa Growth Corridor.

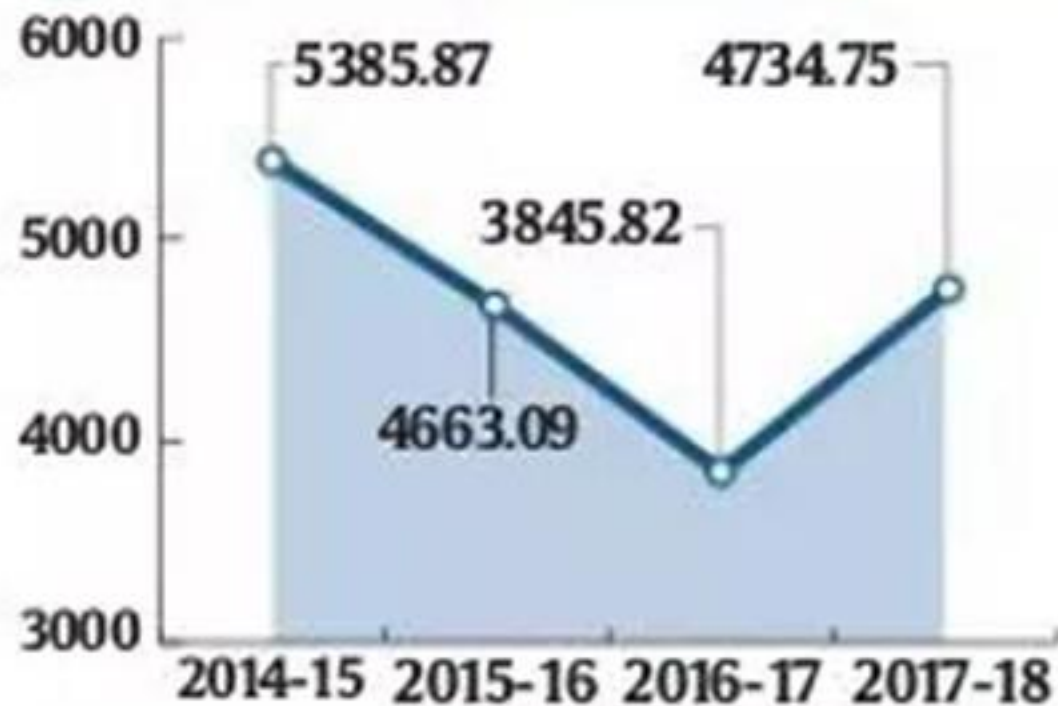
2 The delay with regard to land acquisition issues in Mumbai-Ahmedabad bullet train project.



- Since 2001, after the lifting of Japan's post-Pokhran II sanctions, regular Prime Ministerial exchanges are being held.
- Now, the relationship is “Special Strategic Partnership”.
- Civil Nuclear Agreement was signed.
- Defence Cooperation Agreement was also signed in 2006.
- Comprehensive Economic Partnership Agreement (CEPA) was signed in 2011 to facilitate growth in bilateral trade with abolition of tariffs on 94% items.
- Japan was formerly admitted as the third member of Malabar Indo-US naval exercises.

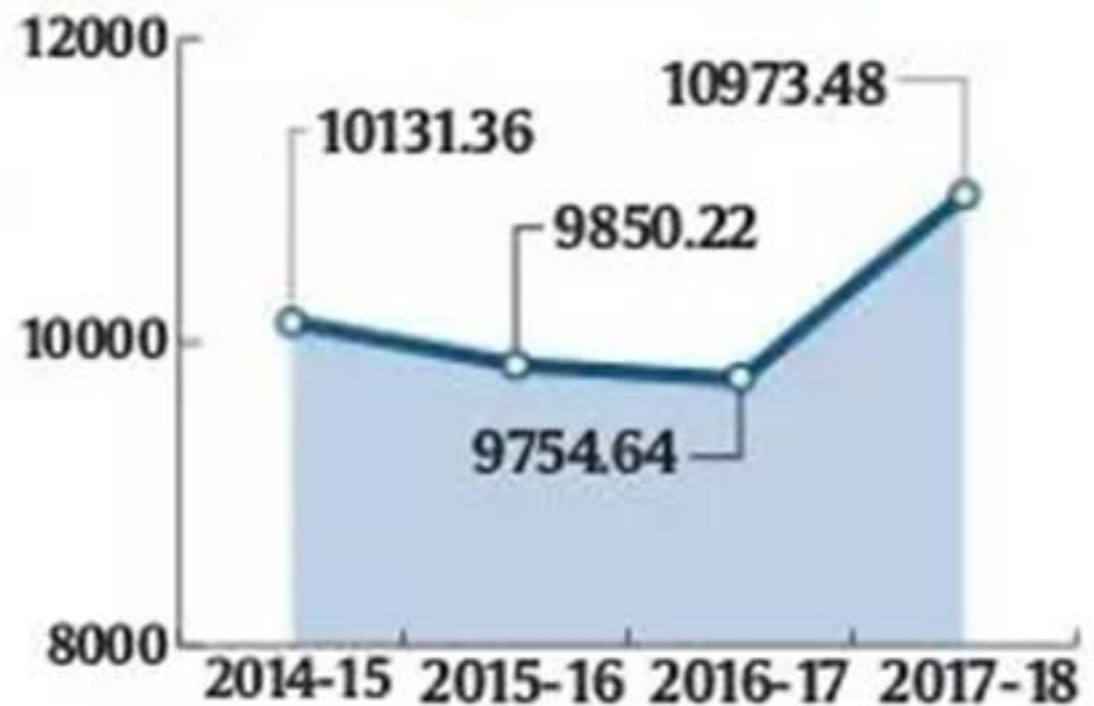


INDIAN EXPORTS TO JAPAN (VALUE IN \$ MILLION)



(Japan ranked 18th in the list of top 25 countries/SAR in FY'18)

INDIAN IMPORTS (VALUE IN \$ MILLION)



(Japan ranked 12th in the list of top 25 countries/SAR in FY'18)

JAPAN ... THE LARGEST BILATERAL DONOR



- 1 Japanese ODA supports India's developments in sectors such as power, transportation, environmental projects and projects related to basic human needs.

- 2 Japan is supporting Delhi-Mumbai Industrial Corridor in a big way.
- 3 In the Dedicated Freight Corridor, a project of close to Rs. 50,000 Cr, of which Japanese assistance is about Rs. 38,000 Cr.
- 4 Japan is also backing Mumbai-Ahmedabad High-Speed Rail Service.
- 5 Some of the Metro projects that are funded by the Japanese include, Delhi Mass Rapid Transit System and Chennai Metro.

Delhi-Mumbai Industrial Corridor



MANESAR - BAWAL IR

JODHPUR-PALI MARWAR IA

AHMEDABAD - DHOLERA IA

DIGHI PORT IA

DADRI - NOIDA - GHAZIABAD IR

KHUSHKHERA - BHIWADI - NEEMRANA IR

PITHAMPUR - DHAR - MHOW IR

SHENDRA-BIDKIN IA

WHAT ARE THE IRRITANTS?



- 1 India-Japan relationship has remained below potential.
- 2 Japan does not accord due importance to India in its security calculus.
- 3 Decade-long security dialogue failed to throw up any tangible results.
- 4 There is also frustration that Japan has offered neither the military hardware, nor technology to India.
- 5 There are also difference of perceptions about China. Japan seems to play down the multiple threats that India faces from China.

INDIA-JAPAN 13th ANNUAL SUMMIT ... DAY-1

Mr. Modi was received by Mr. Abe at Hotel Mount Fuji in Yamanashi Prefecture.

- 1 The Indian Prime Minister said, the partnership had fundamentally transformed and strengthened as a special strategic and global partnership.

- 2 The Prime Minister of India visited the FANUC industrial facility, which specializes in automation. This is one of the largest makers of industrial robots in the World.

- 3 Mr. Abe later on hosted Mr. Modi at his villa near Lake Kawaguchi in Yamanashi.

- 4 It is the first time that Mr. Abe invited a foreign leader to his holiday home in the village of Narusawa.





INDIA

MYANMAR
(BURMA)

VIETNAM

Lao PDR

THAILAND

CAMBODIA

MALAYSIA

SUMATRA

Bay of Bengal

Andaman and Nicobar
Islands

Andaman
Sea

Gulf
of
Thailand

MALACCA STRAIT

South China Sea

Ph

WHAT DO YOU UNDERSTAND BY CURRENCY SWAP?



- 1 It involves the exchange of interest and sometimes principal in one currency, for the same in another currency.

- 2 This facility will enable the agreed amount of foreign capital being available to India for use as and when the need arises.
- 3 The facility will serve as a second line of defence for the rupee after the \$ 393.5 billion of foreign exchange reserves.
- 4 It would not only enable the agreed amount of capital being available to India, it will also bring down the cost of capital for Indian entities, while accessing the foreign capital market.

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